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GLOBALISATION AND THE INDIAN ECONOMY

Economics - Class 10 | Chapter 4 | Deep Structured NCERT Notes

1. Globalisation

Meaning and Definition

Globalisation is the process of rapid integration or interconnection between countries. This is the **exact NCERT definition** and must be **memorized word-for-word**. **More and more goods and services, investments and technology are moving between countries** due to globalisation.

Globalisation has made countries more interconnected than ever before. People can now **buy products from different countries, companies can invest in foreign countries, and technology can spread quickly across borders.** This has **transformed**

the world economy and changed how people live and work.

Globalisation is not a new phenomenon but has accelerated rapidly in recent decades. Ancient trade routes connected countries long ago, but **modern globalisation is much faster and deeper** due to **technology and liberalisation policies**. The last few decades have seen **very rapid globalisation** in human history.

2. Factors That Have Enabled Globalisation

Technology - Most Important Factor

Technology has been the most important factor in facilitating globalisation. Two main types of technology have enabled globalisation: **transportation technology** and **information and communication technology (ICT)**.

Transportation Technology:

There has been tremendous improvement in transportation technology. This has made **faster delivery of goods across long distances possible at lower costs.** **Trains, ships, highways, and airplanes** have made transportation **much cheaper and faster.**

Example: Goods can now be moved across countries in a few days instead of taking months. **Containerization,** which uses standardized containers, has made **loading, unloading, and shipping faster and cheaper.** This has helped global trade expand rapidly.

Information and Communication Technology (ICT):

Information and communication technology has revolutionised the spreading of production of services across the globe. Technology in the areas of **telecommunication and computers** has been **advancing rapidly.**

Telecommunications facilities include:

- **Telephone, telegraph, mobile phones, and fax** used to connect people in the world.
- **Internet and email** allow instant communication across continents.

- **Mobile phones** enable people to communicate and conduct business anywhere.

Computer technology includes:

- **Computers have now entered almost every field of activities.**
- In the world of the **internet**, we can obtain and share information on almost anything.
- **Software and computers** make it possible to provide services remotely, such as **call centers and IT services.**

ICT has made it possible to connect people and businesses instantly across the world. This has **reduced the cost and time of communication.**

Businesses can now **communicate 24/7** across time zones.

Liberalisation of Trade and Investment

The government puts restrictions to control foreign trade - these restrictions are called trade barriers.

Trade barriers include **taxes on imports** and **limits on quantity of goods that can be imported.**

Examples of trade barriers:

- **Tax on imports:** If government puts high tax on imported cars, imported cars become more expensive.
- **Quantity limits:** Government may allow only a fixed quantity of a good to be imported.
- These barriers **protect domestic producers** from foreign competition.

All developed countries, during the early stage of development, gave protection to domestic producers through trade barriers. Countries like **USA, UK, and European countries** protected their industries during their early industrial development.

Removing barriers or restrictions set by the government is known as liberalisation. After liberalisation, **the government imposes much less restrictions than before and is therefore said to be more liberal.**

Liberalisation in India:

- **Before 1991:** India had strict trade barriers such as high taxes and quotas.
- **1991:** India faced an economic crisis and adopted liberalisation policies.

- **After 1991:** Taxes on imports were reduced and many quotas were removed.

Indian government removed barriers to foreign trade and foreign investment for several reasons:

- **To encourage Indian companies to compete globally.**
- **To attract foreign investments.**
- **To integrate India into the global economy.**

3. Multinational Corporations (MNCs)

What is an MNC?

An MNC is a company that owns or controls production in more than one nation. This is the **exact NCERT definition** and must be **memorized word-for-word**.

MNCs set up offices, factories, and businesses in different countries. MNCs operate across multiple countries and connect economies. MNCs are also called **Transnational Corporations (TNCs)** or **Global Corporations**.

Examples of MNCs:

- **Coca-Cola:** Operates in many countries.
- **Microsoft:** Software sold globally.
- **Apple:** Products manufactured and sold across the world.
- **Toyota:** Cars manufactured in multiple countries.
- **Unilever:** Consumer products sold globally.

MNCs are very large and powerful. Some MNCs have **more wealth than many countries.** Their decisions can affect **jobs, production, prices, and trade** in several nations.

How MNCs Are Spreading Production

MNCs are spreading their production and interlinking production across countries in four main ways:

Way 1: Setting Up Production in Foreign Countries

MNCs set up offices and factories in regions where they can get cheap labor and other resources. This helps them **reduce the cost of production.** **Lower production costs allow them to increase their profit margins.**

Reasons MNCs set up factories abroad:

- **Close to the market.**
- **Availability of skilled and unskilled labor at low cost.**
- **Favorable government policies** such as tax incentives and subsidies.
- **Availability of resources** such as raw materials, land, and power.

Way 2: Buying Local Companies

MNCs buy existing local companies to enter the market quickly. This is faster than setting up new factories. Buying a local company gives the MNC **existing customers, infrastructure, and local market knowledge.**

Way 3: Partnering with Local Companies

MNCs form joint ventures with local companies. Both companies share **ownership, profits, and risks.** The MNC brings **capital and technology**, while the local company brings **market knowledge and local connections.**

Way 4: Competing with Local Companies

MNCs compete directly with local companies. MNCs use their **size, technology, brand value, and financial**

power to compete. Consumers may benefit through **more choices, lower prices, and better quality**.

Why MNCs Set Up Production Abroad

MNCs set up their offices and factories in regions where they can get cheap labor and other resources. This helps them **reduce cost of production** and **increase profits**.

Specific reasons include:

- **Cheap Labor:** Labor is cheaper in many developing countries than in developed countries.
- **Close to Market:** MNCs set up near consumers to reduce transportation costs and understand local preferences.
- **Favorable Government Policies:** Some governments offer tax incentives, subsidies, and Special Economic Zones.
- **Availability of Resources:** Some countries have abundant natural resources or skilled labor.

4. Foreign Trade and Integration of Markets

What is Foreign Trade?

Foreign trade is trade between countries. Goods and services are **exported from one country** and **imported by another country**. Foreign trade **integrates markets** across countries.

Example: India may **export software services** to another country and **import petroleum** from another region. This **connects the Indian economy with the global economy**.

Integration of Markets

Globalisation has resulted in integration of markets across countries. Markets that were **earlier separate** are now **connected**. Prices in one country can **affect prices in other countries**.

Example: If **oil prices rise in the Middle East**, oil prices can **also rise in India**. This shows that **markets are integrated**.

Integration of markets means:

- **Goods produced in different countries compete with each other.**

- **Prices are determined globally, not just locally.**
- **Consumers can choose from products worldwide.**
- **Producers must compete with foreign producers.**

5. World Trade Organization (WTO)

What is WTO?

The World Trade Organization (WTO) was set up to liberalise international trade. WTO is an **international organization** that **sets rules for trade between countries.**

WTO was established in 1995 and is headquartered in **Geneva, Switzerland.** India is a **member of WTO.**

Role of WTO

WTO's main role is to ensure that trade flows as smoothly, predictably, and freely as possible. WTO does this by:

- **Setting rules for international trade.**
- **Resolving trade disputes between countries.**
- **Pressuring countries to remove trade barriers.**
- **Promoting free trade.**

WTO pressures developed and developing countries to remove trade barriers. However, **WTO's rules are not always implemented fairly.** Developed countries often maintain practices that protect their own producers while developing countries face pressure to open their markets.

Example: Some developed countries provide **subsidies to their farmers**, making their farm products cheaper in global markets. This can hurt **farmers in developing countries** who cannot compete with subsidized products.

6. Impact of Globalisation in India

Positive Impacts

Globalisation and greater competition among producers have been advantageous to consumers in several ways.

1. More Choice:

- **Consumers get different varieties and brands of products.**
- Examples include **cars, phones, clothes, electronics, and food products.**
- Earlier, choices were limited, but now many global brands are available.

2. Lower Prices:

- **Consumers get better goods and services at cheaper rates.**
- **Competition reduces prices.**
- Many products have become more affordable because of global competition.

3. Better Quality:

- **Competition forces companies to improve quality.**
- Indian companies also improve their products to compete with foreign companies.
- Consumers benefit through **better products and services.**

4. New Jobs Created:

- **MNCs create jobs in India.**
- Jobs are created in **IT, call centers, manufacturing, retail, logistics, and services.**
- Indirect jobs are also created in supporting sectors.

5. Technology Transfer:

- **MNCs bring advanced technology to India.**

- Industries learn **new methods of production and management.**
- This improves productivity and quality.

6. Increased Investment:

- **Foreign investment increases due to globalisation.**
- Investment creates **jobs, infrastructure, and production capacity.**
- Foreign investment also brings **technology and management skills.**

7. Growth of IT Sector:

- **India's IT sector has grown rapidly due to globalisation.**
- Indian IT companies provide services to clients worldwide.
- The IT sector has become a major contributor to India's service exports.

Negative Impacts

Globalisation has not benefited everyone equally.

While **rich people and large companies have benefited**, **small producers and workers have suffered** in many cases.

1. Harm to Small Producers:

- **Small businesses cannot compete with large MNCs.**
- Small toy, electronics, textile, and other producers may lose market share.
- Many small producers may close down or reduce production.

2. Job Insecurity:

- **Workers in MNCs and competitive industries may have no job security.**
- Companies may hire workers on **contract or temporary basis**.
- Workers may lose jobs when companies cut costs.

3. Low Wages:

- **Some workers are paid low wages** to reduce production costs.

- Workers in labour-intensive industries may earn low income.
- Low wages increase company profits but reduce workers' welfare.

4. Exploitation of Workers:

- **Workers may face long working hours.**
- **No overtime pay** may be given in some cases.
- **Unsafe working conditions** and **no union rights** may exist in some workplaces.

5. Damage to Local Industries:

- **Local industries may not be able to compete with cheap imports.**
- Cheap imports can reduce demand for domestic products.
- This can lead to closure of local businesses.

6. Increased Inequality:

- **Rich people and large companies benefit more from globalisation.**
- **Poor people and small producers may benefit less or suffer losses.**
- The gap between rich and poor may increase.

7. The Struggle for a Fair Globalisation

What is Fair Globalisation?

Fair globalisation means creating opportunities for all. It means ensuring that the benefits of globalisation are shared equally and protecting the rights of workers and the environment.

Fair globalisation requires:

- **Protecting workers' rights** such as fair wages, safe conditions, and job security.
- **Protecting small producers** through support for local businesses.
- **Protecting the environment** through sustainable practices.
- **Ensuring equal opportunities** so benefits do not go only to rich people.

What Should Be Done?

The government can play a major role in making globalisation more fair.

1. Enforce Labour Laws:

- **Labour laws should be implemented properly.**
- **Workers should get equal rights.**
- **Minimum wages, working hours, and safety standards should be enforced.**

2. Protect Small Producers:

- **Government should provide support** to small producers.
- **Subsidies, training, and market access** should be provided.
- **Trade barriers** may be used when needed to protect vulnerable local industries.

3. Regulate MNCs:

- **MNCs should be regulated** to ensure they follow laws.
- **MNCs should pay taxes.**
- **MNCs should not exploit workers.**

4. Negotiate at WTO:

- **Government should negotiate at WTO for fairer rules.**

- **Developing countries should have equal voice.**
- **WTO rules should be implemented fairly.**

5. Support Workers:

- **Provide social security** such as pension, health insurance, and unemployment benefits.
- **Provide training** so workers can learn new skills.
- **Ensure fair wages** through minimum wage laws.

8. NCERT Exact Keywords and Definitions

Important Definitions

Globalisation: Process of rapid integration or interconnection between countries.

MNC: Company that owns or controls production in more than one nation.

Foreign Investment: Investment made by MNCs in foreign countries.

Trade Barriers: Government restrictions to control foreign trade, such as tax on imports.

Liberalisation: Removing barriers or restrictions set by the government.

WTO: World Trade Organization, set up to **liberalise international trade**.

Fair Globalisation: Creating opportunities for all and ensuring benefits are **shared more equally**.